BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

September 2, 2025

- **Capesize Enters September on a High Note –** Following one of the strongest Augusts in recent history for Capesize spot rates, **early September appears equally promising** for large bulk carriers. In the Atlantic basin, steady demand has absorbed the excess tonnage that accumulated in recent weeks, keeping rates firm. In the Pacific, **robust iron ore exports** from Australia continue to drive demand and attract tonnage, thereby limiting the number of ballasting vessels. **Seasonality** also **supports further upside**, as September has historically been one of the strongest months for Capesize earnings. This optimism is reflected in the futures curve, with September contracts trading roughly $2,000 above spot levels. **Panamax** rates may face a modest correction but **remain elevated** for this time of year, ahead of what is typically a seasonally strong period for mid-sized bulk carriers. Overall, we remain constructive on the outlook for dry bulk rates into the fourth quarter. While risks persist, from China's economic performance to broader geopolitical developments, we believe **the risk-reward balance remains favorable** for further gains, even at the current elevated absolute levels of spot rates.

- **Iron Ore Prices Remain Supported Yet Rebar Margins Collapse – Benchmark steel margins** experienced a brief **spike** earlier in August, supported by stronger steel prices, but have since **collapsed** to their lowest levels of the year. While sentiment continues to drive iron ore prices, the **absence of fundamental** support makes it unlikely that prices can sustain levels above $100/ton for long. Ongoing announcements of steel production curbs, combined with the anticipated addition of new supply from West Africa's Simandou project, point toward a persistently **oversupplied market**. Although inventories have normalized back to average for this time of year levels, the urgency to secure cargoes remains limited given the broader economic outlook. As such, we maintain a **cautious view** on iron ore, expecting prices to retreat into the low-$90 range ahead of the forthcoming increase in West African exports.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Neutral

Breakwave Dry Futures Index:	2039
30D: 9.9%	↑
YTD: 101.1%	↑
YOY: 3.4%	↑

Baltic Dry Index (spot):	2044
30D: -0.4%	↓
YTD: 105.0%	↑
YOY: 20.9%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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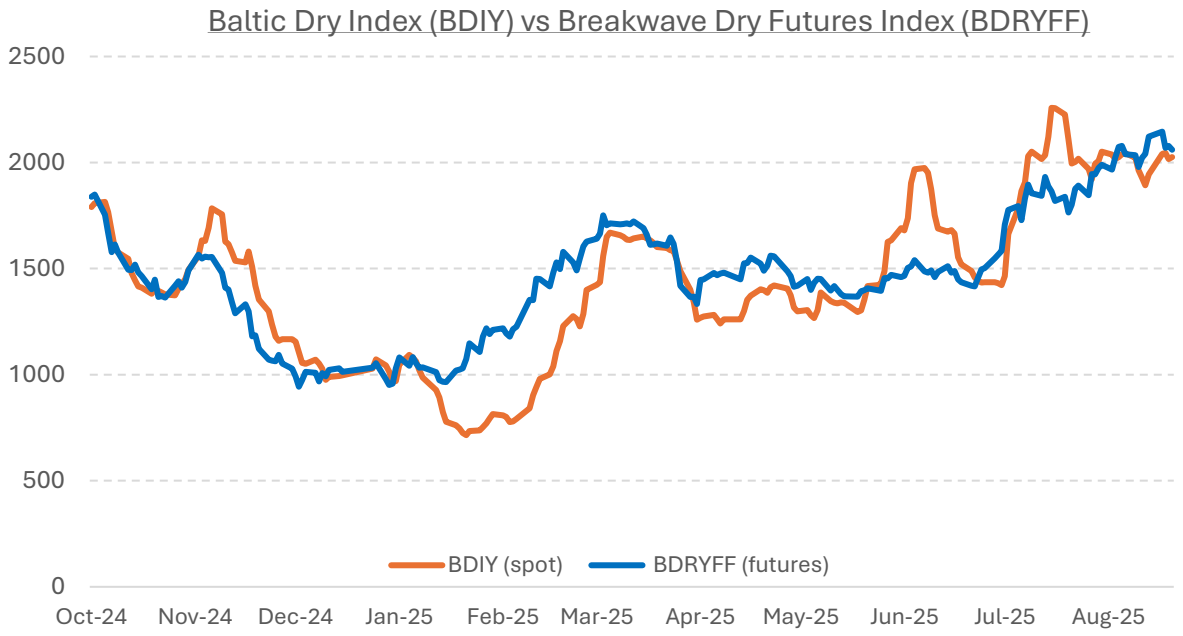

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	594mt	-3.1%
China Steel Inventories	4.4mt	-7.5%
China Iron Ore Inventories	130mt	-12.6%
China Iron Ore Imports	697mt	-2.4%
China Coal Imports	257mt	-13.0%
China Soybean Imports	61mt	4.6%
Brazil Iron Ore Exports	227mt	3.7%
Australia Iron Ore Exports	448mt	-1.4%

Supply		
Dry Bulk Fleet	1056 mdwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,448	-21.0%
Capesize Spot Rates, Average	17,841	-24.2%
Panamax Spot rates, Average	10,604	-25.4%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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